

QUESTION (17 marks)

Tesla Inc. describes itself as follows: *We are focused on bringing artificial intelligence (“AI”) into the real world, through products and services like Full Self-Driving (“FSD”) (Supervised) and Robotaxi, as well as working to develop and commercialize AI robots (“Bots”) (including Optimus).* (Source: Tesla 2025 [annual filing](#), also called “10-K” filing, in the US)

Tesla’s online [FAQ](#) notes: *Tesla has never declared dividends on our common stock. We intend on retaining all future earnings to finance future growth and therefore, do not anticipate paying any cash dividends in the foreseeable future.*



PART 1 (6 marks)

REQUIRED: Use Tesla’s balance sheet and income statement information. Determine the missing numbers. We will review Tesla’s recent performance in future sessions.

	ROW /COLUMN:	A	B	C	D	E
1	Balance Sheet, as at (\$m USD)	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
2	Assets					
3	Cash	16,513	16,139	16,398	16,253	17,576
4	Non-cash assets	121,293	105,931	C4	66,085	44,555
5	Total assets	137,806	122,070	C5	82,338	62,131
6	Total liabilities	54,941	48,390	43,009	36,440	30,548
7	Equity:					
8	Contributed equity	42,773	38,374	34,895	32,180	29,806
9	Retained earnings (deficit)	39,003	35,209	C9	12,885	329
10	Other equity and items	1,089	97	832	833	1,448
11	Total Equity	82,865	73,680	C11	45,898	31,583
13						
14	Income Statement, for fiscal year (\$m USD)	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
15	Revenues	94,827	97,690	96,773	81,462	53,823
16	Cost of revenues	77,733	80,240	C16	60,609	40,217
17	Gross profit	17,094	17,450	17,660	20,853	13,606
18	Other expenses and items	13,300	10,359	2,663	8,297	8,087
19	Net income attributable to Tesla shareholders	3,794	7,091	14,997	12,556	5,519

C4: Non-cash assets on Dec. 31, 2023

C5: Total assets on Dec. 31, 2023

C9: Retained earnings on Dec. 31, 2023

C11: Total equity on Dec. 31, 2023

C16: Cost of revenues for year ending Dec. 31, 2023

PART 2 (2 marks)

REQUIRED: Use Tesla's financial information (including from previous page) to calculate the two key ratios for 2023.

Ratio	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
Debt-to-Equity ratio	0.66	0.66		0.79	0.97
Return on Equity ratio	5%	10%		32%	20%

Debt-to-Equity ratio on Dec. 31, 2023:

Return on Equity ratio for year ending December 31, 2023:

PART 3 (4 marks)

REQUIRED: How are Tesla's assets financed, and how has this changed over time? What do you expect going forward?

PART 4 (5 marks)

REQUIRED: Classify Tesla's 2025 cash transactions below as operating, investing, or financing. Write "+" (if cash is increasing) or "-" (if cash is decreasing) in the correct column.

Transaction	Operating	Investing	Financing
Tesla paid \$37.1 billion to purchase financial investments (e.g., shares of other companies)			
Tesla paid \$8.5 billion to purchase property and equipment			
Tesla borrowed \$5.6 billion as debt			
Tesla repaid \$5.5 billion of debt			
Tesla received \$30.1 billion from sale and maturities of financial investments			